OCAD - ONE COMPANY A DAY

SERIES: UTILITIES

The Southern Company

SO | NYSE

USD 94.61 per share

Closing price, Monday 2 November 2026, latest completed trading day



SO daily closing price, 3 August 2026 to 2 November 2026, USD per share. Source: Alpha Vantage daily price series.

REPORT DATE
3 November 2026

ANALYST
Arthur Faugeron

SERIES
Utilities

EXCHANGE
NYSE

Executive Summary

Southern Company is a regulated electric and gas holding company in the American Southeast whose earnings are set by rate base growth rather than by volume or price competition. It is in the middle of the largest build programme in its history, driven by data centre demand, and this is financed with debt and measured equity issuance. The share trades at 22.6 times trailing earnings and 12.8 times EV to EBITDA, with free cash flow negative.

Business

Through Alabama Power, Georgia Power and Mississippi Power the group serves about 4.59 million retail electric customers, and through Southern Company Gas about 4.42 million gas distribution customers in Illinois, Georgia, Virginia and Tennessee. Southern Power sells wholesale electricity from 12,648 MW of nameplate capacity. Revenue is earned under state commission rate cases and recovers a regulated return on a rapidly growing asset base.

Financial Condition

Fiscal 2025 revenue was USD 29.6bn (up 10.6%), operating income USD 7.9bn, net income USD 4.3bn and diluted EPS USD 3.92. Operating cash flow was USD 9.8bn, but capital expenditure of USD 12.7bn left free cash flow at negative USD 2.9bn. Net debt was USD 72.4bn at year end (5.2 times EBITDA) and USD 74.1bn at the latest balance sheet. Trailing twelve month return on equity is 11.5% and return on invested capital 4.5%.

Market Position

The nearest comparables for capital and large load customers are Duke Energy, NextEra Energy, American Electric Power and Dominion Energy. Southern holds exclusive franchise territories in its core states, which is its principal advantage. Its principal weakness is a balance sheet that carries the heaviest relative capital programme among the peers while earning a modest return on invested capital.

Valuation

At the 30 October 2026 close the provider reports a market capitalisation of USD 107.8bn and enterprise value of USD 181.9bn. Multiples are 22.6 times trailing P/E, 20.3 times forward P/E, 12.8 times EV to EBITDA and 10.0 times price to operating cash flow. P/FCF is not meaningful because free cash flow is negative. The dividend yield is 3.2%.

Investment Framework

WHAT IS ATTRACTIVE	Contracted large load agreements above 17 GW, a prospective pipeline above 75 GW, data centre electricity sales up 55% year on year in the second quarter of 2026, and a covered dividend with a payout ratio near 70%.
WHAT IS CONCERNING	Negative free cash flow in four of five years, debt of USD 77.1bn, interest cover of about 2.5 times EBIT, a return on invested capital of 4.5% and a valuation that sits above its own five year average for EV to EBITDA.
WHAT MUST GO RIGHT	Regulators must keep approving cost recovery on roughly USD 79bn of assumed 2026 to 2030 capital spending, large load customers must take the contracted power, and funding costs must not rise.
WHAT COULD BREAK THE THESIS	A regulatory disallowance on a large project, a cancelled data centre contract, higher interest rates, or an equity issuance well above the USD 1.1bn the company currently projects through 2030.
PRICED IN	A dividend growth rate of about 4.2% a year in perpetuity at a 7.5% cost of equity, or an enterprise discount rate near 5.3% in the cash flow model. The expectations are reasonable to optimistic.

Investment Profile

ASSESSMENT BY DIMENSION

Dimension	Assessment
Business quality	High. Regulated monopoly franchises with predictable, cost based revenue and 4.6 million electric customers.
Financial quality	Moderate. Operating cash flow is 2.3 times net income, but free cash flow is negative and earnings depend on regulatory recovery.
Competitive position	Strong within its territories, with no direct retail competition; the contest is for capital, not customers.
Growth profile	High for a utility. Revenue compounded at 6.3% a year over four years and EPS at 15.0% from a depressed 2021 base.
Balance-sheet risk	Elevated. Net debt to EBITDA of 5.2 times, current ratio of 0.65 and continuing debt issuance.
Valuation	Full on earnings (22.6 times), moderate versus utility peers on EV to EBITDA, and demanding on discounted cash flow.
Market and technical profile	Constructive. Price is above its 50 and 200 day averages after a 13% gain in October; momentum is extended (RSI near 69).

Source: analyst assessment based on the data in sections A to C.

A. About the Business

A1. Business Environment

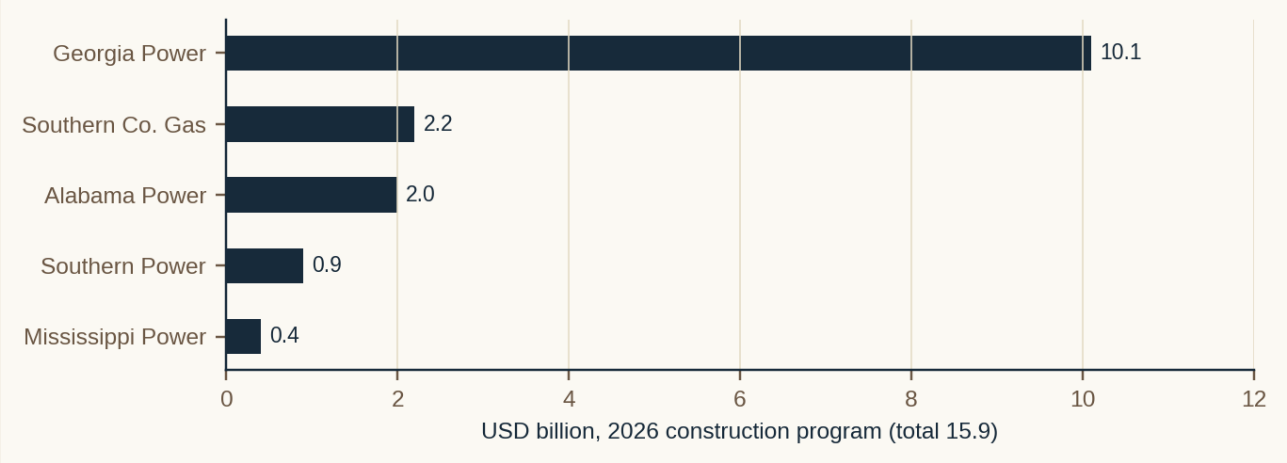
Southern operates in regulated electric and gas utilities. The value chain runs from fuel and equipment suppliers, through generation, transmission and distribution, to retail customers. Revenue pools are retail electricity and gas sales, wholesale power, and pass-through fuel recovery; cost pools are fuel and purchased power, operations and maintenance, depreciation, interest and tax. In fiscal 2025 the group booked USD 5.9bn of fuel and purchased power, USD 7.1bn of operations and maintenance and USD 5.5bn of depreciation against USD 29.6bn of revenue.

The industry is capital intensive: Southern spent USD 12.7bn of capital against USD 6.0bn of depreciation and amortisation in 2025, a ratio of 2.1 times. Demand is weather sensitive but defensive. Regulation is the central feature: the Georgia, Alabama and Mississippi public service commissions, the Illinois and Virginia commissions, the Federal Energy Regulatory Commission

and the Nuclear Regulatory Commission each control part of the allowed return. Value is created when regulators allow a return above the cost of capital on a growing rate base, and it is destroyed when costs are disallowed or recovery is delayed.

Industry concentration is high at the state level, because each operating utility holds a franchise territory, and fragmented at the national level. Technological dependence is rising as data centres and electrification change the load shape.

Southern Company 2026 construction programme by subsidiary



Source: Southern Company Form 10-K for fiscal 2025, page I-4. Units: USD billion. Period: calendar 2026 plan.

INDUSTRY STAGE: STRUCTURALLY TRANSFORMING AND GROWING

> After roughly two decades of flat load, regulated utilities in the Southeast face the first sustained demand growth in a generation. The company reports weather normalised retail sales up 2.3% in the first half of 2026 and commercial sales up 7.4% in the second quarter. The sector is mature in structure but growing in load, so it is best classified as structurally transforming.

A2. What Does the Company Do?

Southern is a holding company. Alabama Power, Georgia Power and Mississippi Power generate, transmit and sell electricity to retail customers: about 1.56 million, 2.83 million and 0.19 million respectively at the end of 2025. Southern Company Gas distributes natural gas through Nicor Gas (2.29 million customers), Atlanta Gas Light (1.73 million), Virginia Natural Gas (0.32 million) and Chattanooga Gas (0.07 million), and markets gas through SouthStar to about 677,000 customers. Southern Power owns and contracts wholesale generation, including 12,648 MW of nameplate capacity in operation at year end 2025.

Revenue is largely recurring, because customers pay regulated tariffs. The traditional electric companies rely primarily on natural gas and coal with nuclear at Alabama Power and Georgia Power; the filing does not quantify the fuel mix. Pricing is set in rate cases rather than by the market, with fuel passed through. Major operating costs are fuel, maintenance, depreciation and interest, and the capital requirement is the dominant economic fact: the 2026 construction programme is USD 15.9bn, of which Georgia Power is USD 10.1bn.

How one dollar of revenue is used

Using fiscal 2025 figures of USD 29.6bn revenue: fuel and purchased power took 19.9 cents, operations and maintenance 23.9 cents, depreciation and amortisation 18.6 cents and other operating expenses 10.9 cents, leaving 26.7 cents of operating income. Interest expense took 11.0 cents and tax 2.8 cents, leaving 14.7 cents of net income.

1. CUSTOMER	2. PRODUCT AND SERVICE	3. REVENUE
4.59 million electric and 4.42 million gas customers, plus wholesale buyers	Regulated electricity and gas delivery, plus wholesale generation	USD 29.6bn in fiscal 2025, USD 30.2bn trailing twelve months

4. COSTS
73.3 cents per dollar of revenue in operating expenses

5. OPERATING PROFIT
26.7% margin in fiscal 2025

6. CASH FLOW
Operating cash flow USD 9.8bn; free cash flow negative USD 2.9bn

7. CAPITAL ALLOCATION
Capex USD 12.7bn, dividends USD 3.0bn, net new debt USD 6.8bn

The most economically important elements are the rate base growth rate (capex minus depreciation) and the allowed return the regulators grant on it.

A3. Business and Relationship Network

ECOSYSTEM MAP

Node	Relationship	Why it matters economically
Georgia Power	Largest subsidiary; 2.83 million customers; USD 10.1bn of the 2026 programme	Carries most of the growth capex and the large load build; commission certification drives returns.
Alabama Power and Mississippi Power	Regulated electric subsidiaries; 1.56 million and 0.19 million customers	Stable base earnings and nuclear exposure at Alabama Power.
Southern Company Gas	Four state gas distribution, 4.42 million customers	Diversifies away from electricity; USD 2.2bn 2026 capex; Illinois disallowances reported in 2026.
Southern Power	Wholesale generation, 12,648 MW	Recontracting of expiring arrangements is under discussion.
Large load customers	Data centres and others, over 17 GW contracted, over 75 GW prospective	The main source of incremental demand and the justification for new certified generation.
Regulators	Six state and federal bodies	Set rates, allowed returns, cost recovery and plant certification.
Vogtle owners and lenders	Joint owners and loan guarantee for Units 3 and 4	Nuclear fleet with NRC licences expiring between 2047 and 2063.
Equity and debt investors	At-the-market equity programme and bond market	Funding source for the negative free cash flow.

Source: Southern Company Form 10-K for fiscal 2025; Form 8-K dated 30 July 2026; Q2 2026 earnings call coverage, Nasdaq.

A4. Competition

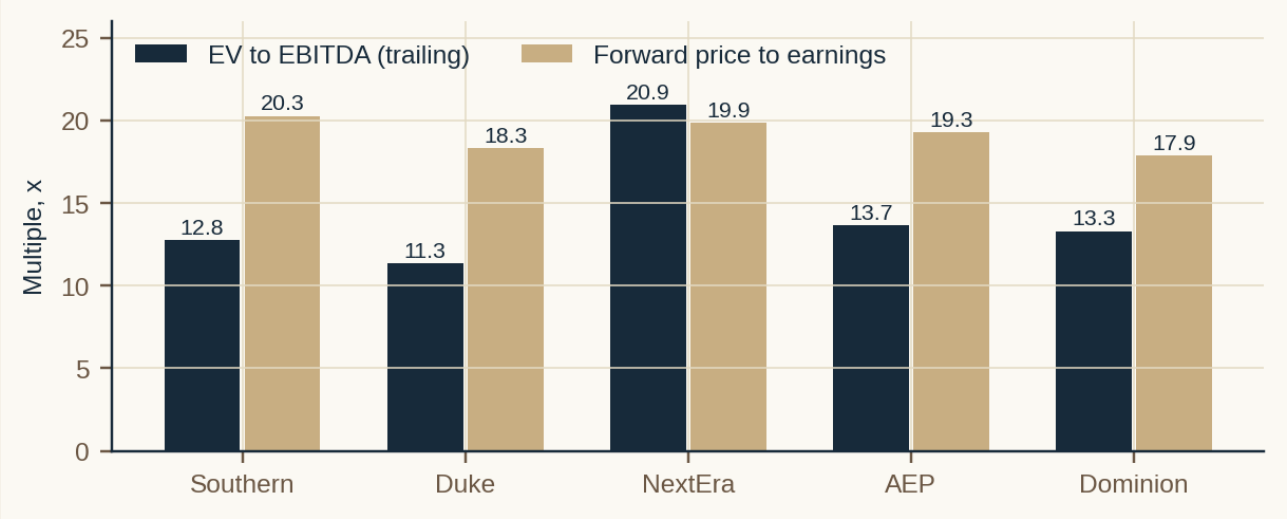
Southern does not compete for retail customers inside its franchise areas. It competes for capital, for large load customers who can site data centres in several states, and for equipment and construction labour. The peers below were chosen because they are large, vertically integrated or regulated utilities with significant data centre related load growth and similar balance-sheet constraints.

COMPETITIVE COMPARISON, USD

Company	Revenue TTM	Op. margin	EV/EBITDA	Fwd P/E	EV less mkt cap
Southern Company	30.2bn	27.0%	12.8x	20.3x	74.1bn
Duke Energy	32.8bn	27.0%	11.4x	18.3x	91.5bn
NextEra Energy	28.8bn	30.0%	20.9x	19.9x	108.4bn
American Electric Power	22.8bn	24.0%	13.7x	19.3x	52.9bn
Dominion Energy	18.1bn	30.8%	13.3x	17.9x	53.6bn

Source: StockAnalysis.com statistics pages, 27 October 2026 for peers and 1 November 2026 for Southern. Enterprise value less market capitalisation is shown as a proxy for net debt and other claims. Peer data are intraday on 27 October 2026 and not fully aligned to Southern's 30 October close.

Valuation multiples versus peers



Source: StockAnalysis.com, 27 October to 1 November 2026. Units: multiple, times.

Duke is the closest structural comparable: regulated, Southeast and Midwest, large capital plan, yet it trades at a lower EV to EBITDA (11.4 times versus 12.8). NextEra's multiple of 20.9 times is an outlier within the group and is not a like for like benchmark. AEP and Dominion bracket Southern on valuation and both face their own data centre load concentration. Southern's net debt to EBITDA of 5.2 times compares with Duke at 5.4, AEP at 5.8, Dominion at 6.4 and NextEra at 8.5 on provider debt to EBITDA, so leverage is mid-range rather than an outlier.

A5. Competitive Differences

Advantages. Exclusive franchises, scale in the fastest growing part of the country, a rate base of regulated assets over USD 100bn (net property, plant and equipment of USD 115.5bn at year end 2025), regulatory certification of about 13 GW of new resources in Georgia, and owned nuclear capacity. These advantages are structural, because they derive from law and franchise, not from product.

Disadvantages. Heavy capital intensity (capex 43.1% of revenue in 2025), high leverage, concentrated exposure to one state commission (Georgia Power is USD 10.1bn of the USD 15.9bn programme), and goodwill of USD 5.2bn equal to 14.3% of common equity. The large load growth carries execution risk, because contracts are commitments until service begins.

MOAT ASSESSMENT: STRONG

> The moat is a legal franchise combined with cost of service regulation. It protects volume and returns against competitors, but not against the regulator, so it is strong rather than very strong. Return on invested capital of 4.5% shows that the moat protects a modest return rather than an excess return.

A6. Industry Trend

Demand growth is the structural trend. Southern reports data centre usage up 55% year on year in the second quarter of 2026 and up 49% year to date, with system data centre load above 1.2 GW; commercial sales are up 7.4% in the quarter. More than 17 GW of contracts and large load agreements are expected by the mid-2030s, including 6 GW signed in the second quarter, about 8 GW of projects are late stage and over 75 GW sits in the prospective pipeline. New generation is estimated at roughly USD 2bn per GW. The Georgia commission certified 9,885 MW with service dates from 2027 to 2030 on 19 December 2025.

Structural trends are load growth and generation build; temporary conditions include weather, fuel prices and interest rates. The trend could reverse if data centre demand slows, if large customers consolidate on fewer sites, or if regulators cap the return on new assets. The sector is growing in load and cyclical in valuation, because rate sensitivity moves multiples more than earnings.

A7. Management

EXECUTIVE TEAM

Name	Position	Scope
Christopher C. Womack	Chairman, President and Chief Executive Officer	Group strategy and regulatory relationships
David P. Poroch	Executive Vice President and Chief Financial Officer	Funding, credit ratings, equity programme
Stanley W. Connally Jr.	Executive Vice President and Chief Operating Officer	Operations across subsidiaries
Kimberly S. Greene	Chairman, President and CEO, Georgia Power	Largest subsidiary, USD 10.1bn plan
J. Jeffrey Peoples	Chairman, President and CEO, Alabama Power	Second electric subsidiary
Sterling A. Spainhour Jr.	Executive Vice President and Chief Legal Officer	Regulatory and legal matters

Source: StockAnalysis.com company profile (executive roster). Prior careers, tenure and insider ownership: Not Retrieved from primary sources and therefore not stated.

Management behaviour can be judged from outcomes. The company raised USD 1.6bn of common equity in 2025 and USD 0.7bn through the at-the-market programme in the second quarter of 2026, while stating that the remaining equity need through 2030 is USD 1.1bn and targeting an FFO to debt ratio near 17% by 2029. The quarterly dividend was raised from USD 0.74 to USD 0.76 in 2026, and the payout ratio of about 70% leaves room for retention. Second quarter adjusted EPS of USD 1.13 was USD 0.13 above the company's own estimate, and 2026 guidance of USD 4.50 to USD 4.60 is now expected at or near the top. Governance and compensation detail is Not Retrieved. The pattern, funding growth with modest dilution and holding the dividend, aligns with shareholders, but diluting equity at a time when the stock trades near the top of its range raises the cost of that alignment.

B. Evaluation

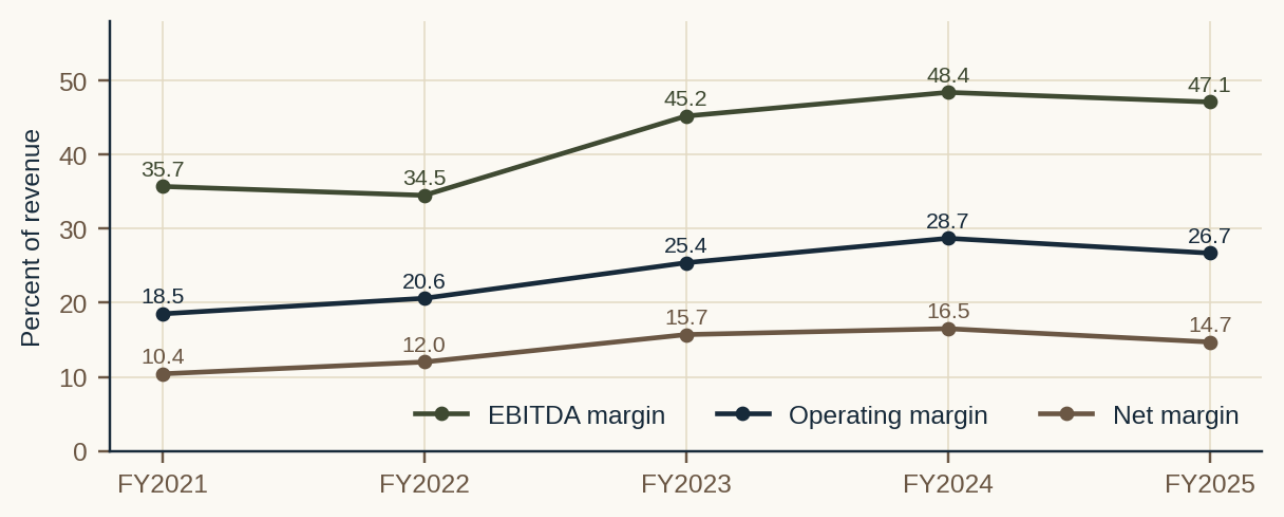
B1. Financial and Operating Metrics

PROFITABILITY AND RETURNS, FISCAL YEARS ENDING 31 DECEMBER

Metric	FY2021	FY2022	FY2023	FY2024	FY2025
Gross margin	N/A	N/A	N/A	N/A	N/A
EBITDA margin	35.7%	34.5%	45.2%	48.4%	47.1%
Operating (EBIT) margin	18.5%	20.6%	25.4%	28.7%	26.7%
Net margin	10.4%	12.0%	15.7%	16.5%	14.7%
Return on equity	7.1%	10.2%	11.0%	11.9%	11.0%
Return on assets	2.1%	2.9%	2.9%	3.4%	3.3%
Return on capital employed	3.7%	5.1%	5.1%	5.9%	5.7%

Source: StockAnalysis.com (S&P Global Market Intelligence data). Margins and EBITDA are calculated: EBITDA is operating income plus depreciation and amortisation from the cash flow statement. Gross margin is not reported by utilities. ROIC is available for the trailing twelve months only (4.5%).

Margin structure



Source: StockAnalysis.com. Units: percent of revenue. Period: fiscal 2021 to 2025, calculated.

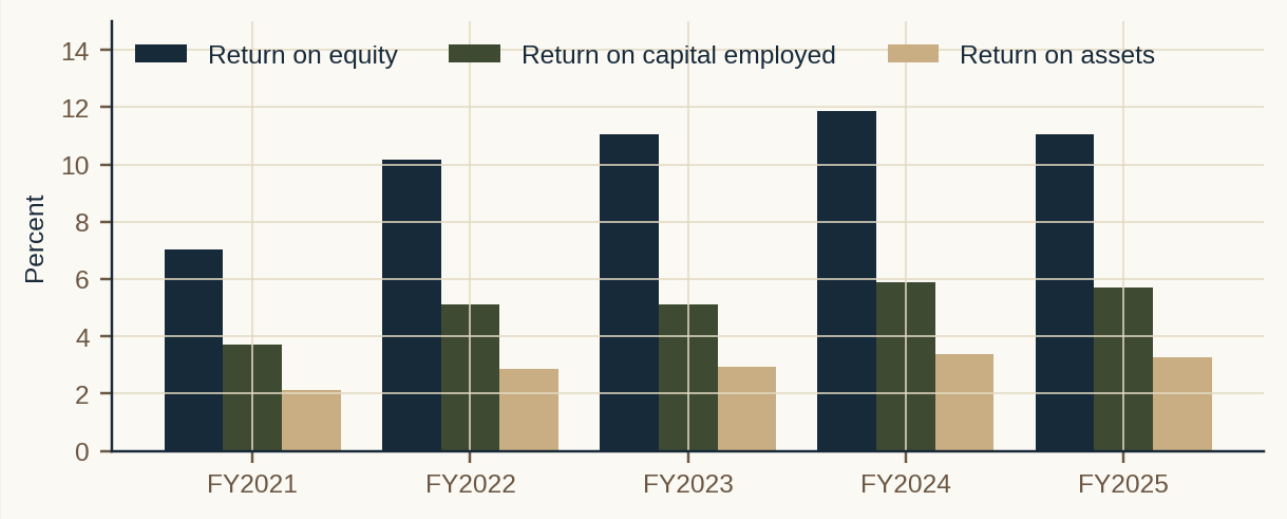
GROWTH, EFFICIENCY, LEVERAGE AND CASH FLOW

Metric	FY2021	FY2025	Four year CAGR
Revenue, USD bn	23.1	29.6	6.3%
EBITDA, USD bn	8.2	13.9	14.0%
Net income, USD bn	2.4	4.3	16.1%
Diluted EPS, USD	2.24	3.92	15.0%
Operating cash flow, USD bn	6.2	9.8	12.3%
Capital expenditure, USD bn	7.6	12.7	13.8%
Free cash flow, USD bn	-1.4	-2.9	Not meaningful
Asset turnover, times	0.19	0.19	Flat
Net debt / EBITDA, times	6.5	5.2	Improved
Debt / equity, times	1.70	1.91	Higher
Interest cover (EBIT / interest expense), times	2.3	2.4	Stable
Operating cash flow / net income, times	2.6	2.3	Stable
Capex / revenue	32.8%	43.1%	Higher

Source: StockAnalysis.com; CAGRs and ratios calculated by the analyst. Inventory and receivable turnover are not significant for a regulated utility and are omitted. EPS growth from 2021 is flattered by a weak base year (EPS fell 23.6% that year).

Operating cash flow exceeds net income by a factor of 2.3 because depreciation (USD 6.0bn) and deferred taxes are non-cash. The EBITDA margin expanded from 35.7% to 47.1% because revenue grew faster than operations and fuel costs, with fuel passed through to customers; the provider does not break the change into rate, volume and cost drivers. Return on equity of 11.0% is consistent with allowed returns, while return on capital employed of 5.7% is a better measure of the economic yield on the whole asset base and shows that the return barely clears the cost of debt plus equity.

Return on equity, capital employed and assets



Source: StockAnalysis.com. Units: percent. Period: fiscal 2021 to 2025.

B2. Risks

RISK REGISTER RANKED BY PROBABILITY TIMES IMPACT

Rank	Risk	Probability	Impact	Description
1	Regulatory disallowance	Medium	High	Cost recovery on a USD 15.9bn programme depends on commissions; the Illinois disallowance at Nicor Gas in 2026 shows it happens.
2	Funding cost and rates	High	Medium	USD 77.1bn of debt; interest expense rose from USD 1.9bn to USD 3.2bn in four years; cover is 2.4 times.
3	Large load shortfall	Medium	High	Over 17 GW contracted but only a small share is in service; cancellations would strand new generation.
4	Equity dilution	Medium	Medium	Share count rose 1.6% over the latest twelve months; further issuance is likely if cash flow disappoints.
5	Construction and cost overrun	Medium	Medium	Capex 2.1 times depreciation; delays defer returns.
6	Valuation compression	Medium	Medium	The multiple is 22.6 times earnings; a rise in yields would reduce it.
7	Weather, fuel and macro	Medium	Low	Fuel is passed through but affects customer bills and political tolerance.
8	Technology and cyber	Low	Medium	Grid and nuclear assets are targets; load shape change from artificial intelligence workloads.

Source: analyst assessment using company filings and the data in this report.

The three risks most capable of permanently impairing shareholder value are regulatory disallowance, a large load shortfall that strands new generation, and a funding cost spike that erodes the spread between allowed return and cost of capital.

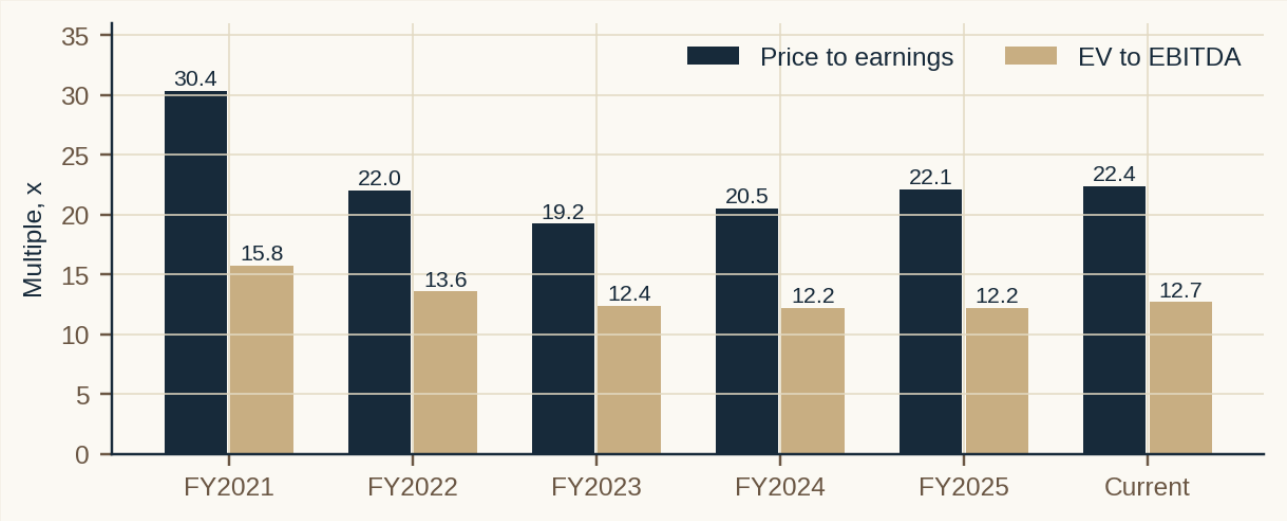
B3. Valuation

VALUATION MULTIPLES

Multiple	Current	FY2025	FY2024	FY2023	FY2022	FY2021
Price to earnings	22.4	22.1	20.5	19.2	22.0	30.4
EV to EBITDA	12.7	12.2	12.2	12.4	13.6	15.8
EV to EBIT	22.2	21.5	20.6	22.0	22.7	30.5
Price to sales	3.5	3.3	3.4	3.0	2.7	3.2
Price to book	2.7	2.5	2.5	2.2	2.3	2.2
Price to operating cash flow	10.0	9.8	9.2	10.1	12.3	11.8
Dividend yield	3.3%	3.4%	3.5%	4.0%	3.8%	3.8%

Source: StockAnalysis.com ratios page; current column dated 23 October 2026. Forward P/E is 20.3 times and EV/EBITDA on the 1 November 2026 update is 12.8 times. P/FCF and EV/FCF are not meaningful because free cash flow is negative in four of five years; PEG is not shown because the company's long term growth target was not retrieved.

Valuation history



Source: StockAnalysis.com. Units: multiple, times. Period: fiscal year end 2021 to 2025 and 23 October 2026.

On its own history the stock is above the three year range for P/E (19.2 to 22.1 times) and in line with the range for EV to EBITDA (12.2 to 12.4 times), while the dividend yield of 3.2% is at the low end of the 3.4% to 4.0% range of 2022 to 2025. Against peers it is mid-range on forward earnings (20.3 times versus 17.9 to 19.9) and below NextEra on EV to EBITDA.

What the price implies

The enterprise value of USD 181.9bn compares with a regulated asset base proxy of net property, plant and equipment of USD 115.5bn plus regulatory assets of USD 13.9bn. The market is paying a premium for future rate base growth. A dividend discount cross-check shows the shape of the expectation: at a 7.5% cost of equity the current price implies dividend growth of about 4.2% a year in perpetuity, which is above long run nominal economic growth assumptions. In the cash flow model of section C5, the price is reproduced only at a discount rate near 5.3%. These expectations are reasonable to optimistic: they require the rate base to grow near 8% a year and the allowed return to hold, with no margin for rising rates.

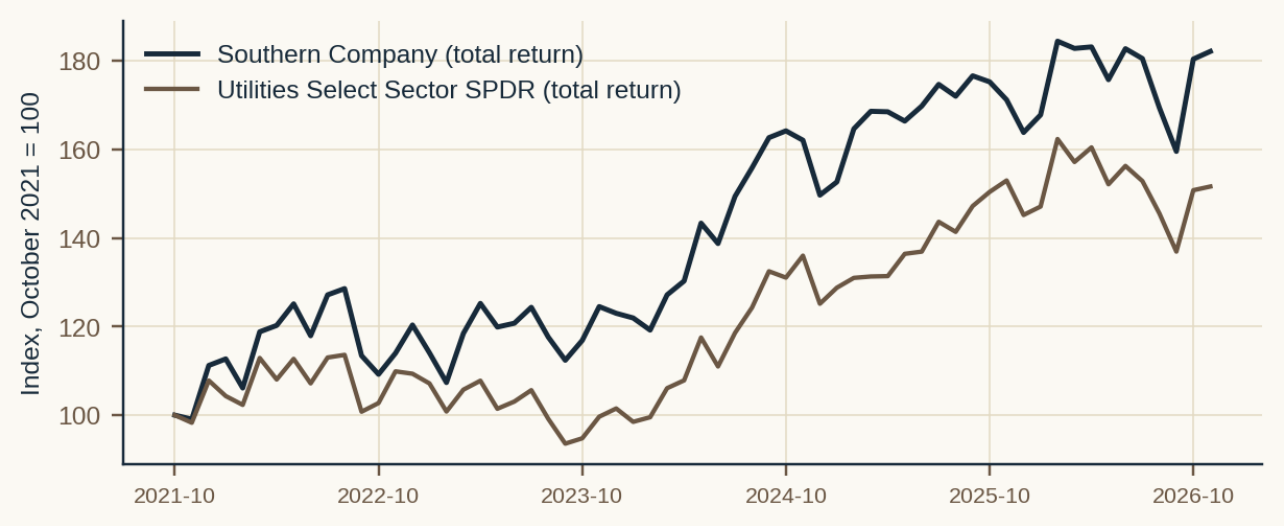
B4. Capital Market and Stock Analysis

PRICE AND TOTAL RETURN VERSUS THE UTILITIES SECTOR FUND, TO 2 NOVEMBER 2026

Horizon	Southern Company	Utilities sector fund	Difference
1 day	1.0%	N/A	N/A
1 week	2.2%	N/A	N/A
1 month	13.0%	N/A	N/A
3 months	1.8%	N/A	N/A
6 months	-0.6%	-5.5%	4.9 pts
Year to date	11.2%	4.4%	6.8 pts
1 year	3.9%	0.8%	3.1 pts
3 years	55.8%	59.9%	-4.1 pts
5 years (October 2021)	82.2%	51.6%	30.6 pts

Source: Alpha Vantage daily and monthly adjusted price series. Horizons up to three months are price returns on daily closes; longer horizons are total returns on month-end adjusted prices. The sector fund is the Utilities Select Sector SPDR Fund.

Southern Company versus the utilities sector fund

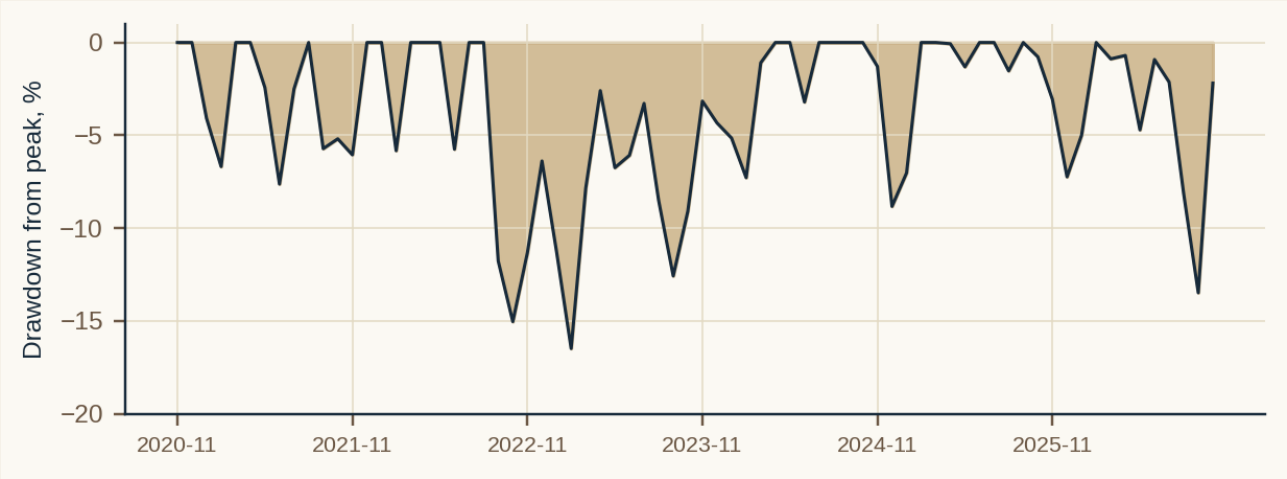


Source: Alpha Vantage monthly adjusted close. Units: index, October 2021 = 100, total return. Period: October 2021 to November 2026.

VOLATILITY AND RISK

Measure	Value	Basis
Annualised volatility, five years monthly	18.5%	Calculated, month-end returns
Annualised volatility, daily, since 11 June 2026	17.7%	Calculated
Downside volatility, five years	10.8%	Calculated
Beta versus utilities sector fund	0.95	Calculated, 60 months
Correlation with sector fund	0.87	Calculated
Beta, five years (broad market)	0.30	Reported by data provider
Maximum drawdown, five years monthly	-16.5%	Calculated; trough February 2023
Current drawdown from February 2026 peak, month-end	-2.2%	Calculated

Drawdown from rolling peak



Source: Alpha Vantage monthly adjusted close. Units: percent. Period: November 2021 to October 2026, calculated.

Technical structure. The share closed at USD 94.61 on 2 November 2026, above the 50 day average of USD 87.78 and the 200 day average of USD 92.43 reported by the data provider. The price rose from USD 82.89 on 30 September to USD 93.71 on 30 October, +13.1%, as the sector fund rose 10.1%, so the move was largely shared with the sector. The 14 day relative strength index is about 69 and the MACD line (1.88) is above its signal line (1.45), which indicates strong but extended momentum. Support lies near USD 82.4 to USD 83.5 (the September base); resistance near USD 97 (the July peak close of USD 97.25 and the February month-end of USD 97.38). Daily volume in October ranged mostly between 3 and 8 million shares, with a spike of 14.6 million on 18 September. Technical conditions describe timing and sentiment; they carry no information about the fundamental value discussed in section C5, and extended momentum can reverse without any change in fundamentals. Average true range: Not Retrieved.

C. Financial Statements

Southern reports under US GAAP. Figures below are reported by the data provider from filings unless stated, with EBITDA and ratios derived by the analyst. Fiscal years end 31 December; the trailing twelve month column ends 30 June 2026.

C1. Income Statement

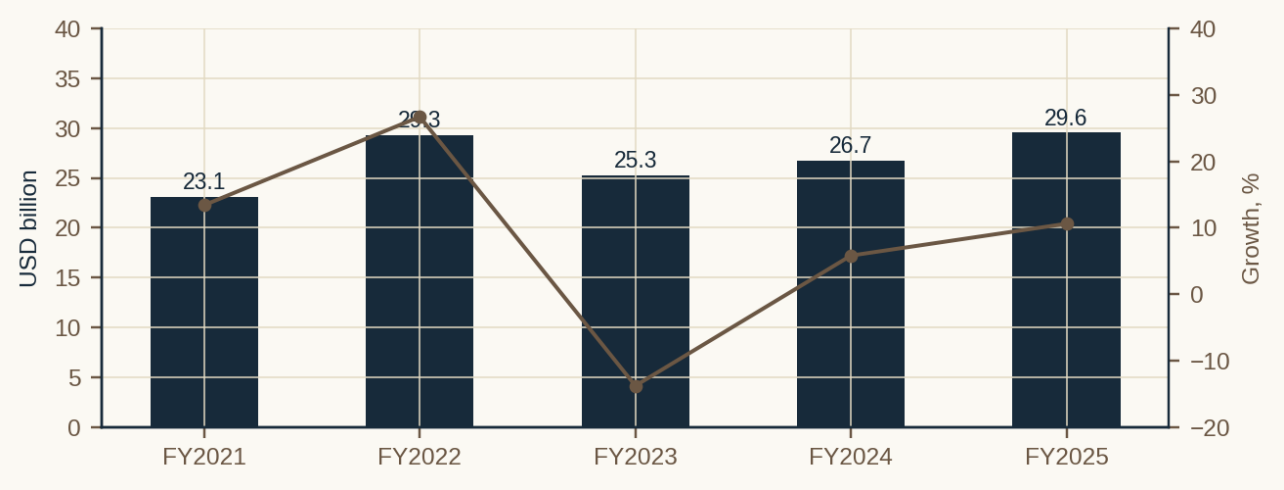
Revenue fell 13.8% in 2023 and rose 26.7% in 2022 mainly because fuel and purchased power costs swung between USD 8.4bn and USD 5.2bn and are passed through to customers. The underlying growth is better read through operating income, which rose from USD 4.3bn to USD 7.9bn, with the operating margin expanding from 18.5% to 26.7%. Depreciation rose from USD 3.6bn to USD 5.5bn as new plant entered service, and interest expense rose 75% in four years. Operating leverage is positive: operating income grew faster than revenue until 2025, when the margin stepped back from 28.7% to 26.7% as depreciation and operations costs rose faster than revenue. The share count has risen about 1.2% a year, so EPS growth (15.0% a year from a weak 2021) is a little below net income growth (16.1%). The data provider does not split growth into volume, price and mix; the company reports weather normalised retail sales growth of 2.3% in the first half of 2026.

INCOME STATEMENT SUMMARY, USD MILLION

Line	FY2021	FY2022	FY2023	FY2024	FY2025	TTM
Revenue	23,113	29,279	25,253	26,724	29,553	30,179
Fuel and purchased power	4,988	8,428	5,248	4,979	5,877	6,035
Operations and maintenance	5,902	6,824	6,025	6,518	7,066	7,120
Depreciation and amortisation	3,565	3,663	4,525	4,755	5,501	5,523
Operating income	4,269	6,026	6,421	7,678	7,897	8,136
Interest expense	1,852	2,033	2,446	2,743	3,238	3,223
Pretax income	2,561	4,212	4,345	5,229	4,999	5,248
Income tax	267	795	496	969	828	673
Net income to common	2,393	3,524	3,976	4,401	4,341	4,658
Diluted shares, million	1,068	1,081	1,098	1,102	1,109	1,123
Diluted EPS, USD	2.24	3.26	3.62	3.99	3.92	4.15

Source: StockAnalysis.com annual income statement (S&P Global Market Intelligence), reported. Revenue includes other revenue of USD 1,284m in fiscal 2025. Depreciation and amortisation in the income statement (USD 5,501m in 2025) is lower than the cash flow figure (USD 6,030m) because the latter includes amortisation recorded in other lines.

Revenue and growth



Source: StockAnalysis.com. Units: USD billion and percent growth. Period: fiscal 2021 to 2025.

C2. Balance Sheet

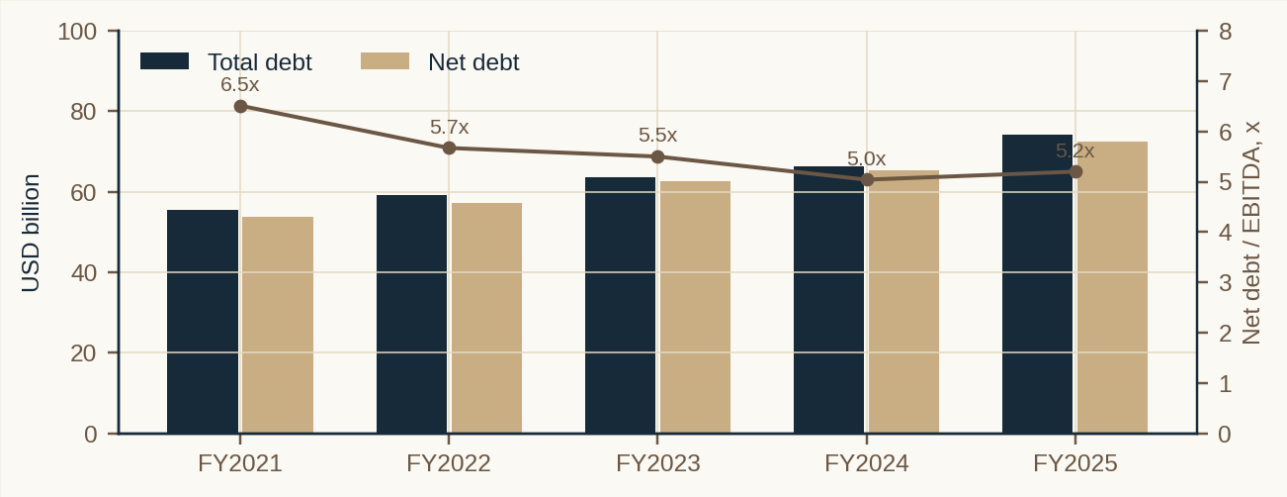
Total debt grew 33.5% in four years to USD 74.1bn while equity grew 29%. Net debt to EBITDA improved from 6.5 times to 5.2 times, but only because EBITDA rose; the provider's latest balance sheet shows debt of USD 77.1bn and cash of USD 3.0bn, so net debt is USD 74.1bn. The current ratio is 0.65 and the quick ratio 0.34, with USD 6.9bn of debt due within a year (short-term debt of USD 722m plus a current portion of USD 6,204m) that is routinely refinanced in capital markets. The equity ratio is 25.0% including minority interests. Goodwill of USD 5.2bn is 14.3% of common equity, and pension obligations are a modest USD 1.2bn. Red flags are the refinancing requirement and the reliance on continuous market access; off-balance-sheet obligations were not assessed. Working capital is negative USD 6.0bn, typical for a utility that funds itself with short-dated paper.

BALANCE SHEET SUMMARY, USD MILLION, 31 DECEMBER

Line	FY2021	FY2022	FY2023	FY2024	FY2025
Cash and equivalents	1,798	1,917	748	1,070	1,639
Total current assets	8,965	10,416	10,432	10,694	10,917
Property, plant and equipment	92,638	95,860	101,083	105,870	115,544
Regulatory assets	12,535	14,819	14,003	14,067	13,935
Goodwill	5,280	5,161	5,161	5,161	5,161
Total assets	127,534	134,891	139,331	145,180	155,720
Total current liabilities	10,921	15,724	13,467	15,993	16,888
Total debt	55,470	59,135	63,490	66,277	74,075
Net debt	53,672	57,218	62,742	65,207	72,436
Total common equity	27,874	30,408	31,444	33,208	36,016
Minority interest	4,693	4,124	3,781	3,466	2,851
Shares outstanding, million	1,060	1,089	1,091	1,097	1,119

Source: StockAnalysis.com annual balance sheet, reported. Net debt is total debt less cash and equivalents and restricted cash as computed by the provider.

Debt, net debt and leverage



Source: StockAnalysis.com; leverage calculated as net debt over derived EBITDA. Units: USD billion and times. Period: fiscal 2021 to 2025.

C3. Cash Flow Statement

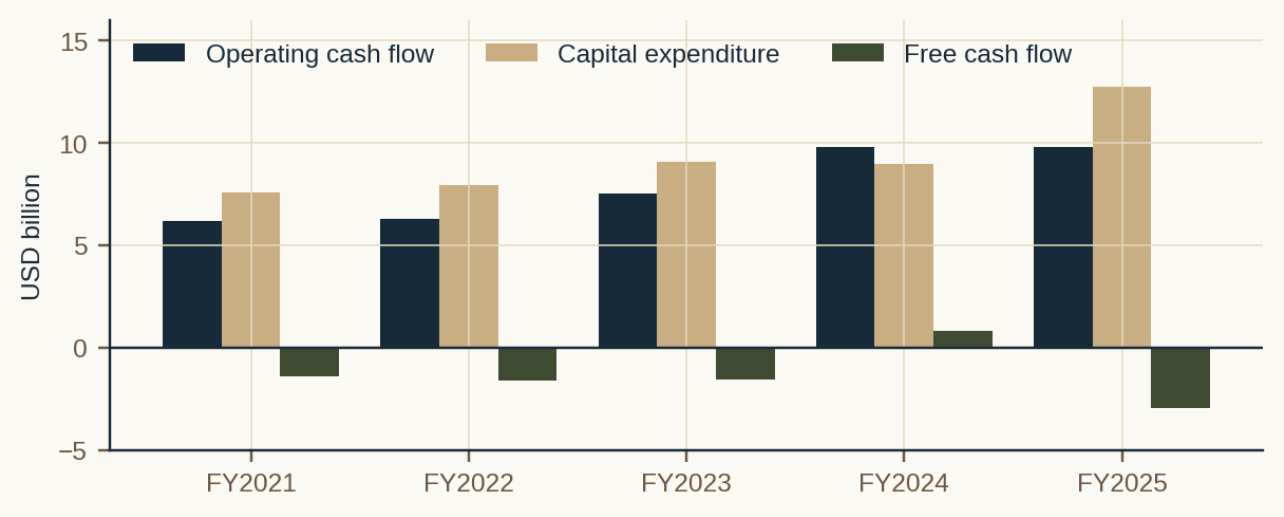
Net income is not cash generation. Operating cash flow was 2.3 times net income in 2025 because non-cash depreciation of USD 6.0bn is added back, so earnings understate gross cash generation. Yet free cash flow after USD 12.7bn of capex was negative USD 2.9bn, and dividends of USD 3.0bn were funded by debt of USD 6.8bn net and equity of USD 1.6bn. The only positive year was 2024 (USD 0.8bn, 3.1% margin) when capex was held at USD 9.0bn. Capex is 2.1 times depreciation, so most spending is growth capex that expands rate base rather than maintenance. The trailing twelve month free cash flow is negative USD 3.3bn (a yield of negative 3.0%). Cash interest paid was USD 2.7bn and cash taxes only USD 0.3bn.

CASH FLOW SUMMARY, USD MILLION

Line	FY2021	FY2022	FY2023	FY2024	FY2025
Net income	2,393	3,524	3,976	4,401	4,341
Depreciation and amortisation	3,973	4,064	4,986	5,266	6,030
Operating cash flow	6,169	6,302	7,553	9,788	9,802
Capital expenditure	-7,586	-7,923	-9,095	-8,955	-12,737
Free cash flow	-1,417	-1,621	-1,542	833	-2,935
Acquisitions	0	0	0	0	-635
Net debt issued	4,765	4,137	4,371	2,969	6,792
Common stock issued	73	1,808	36	143	1,623
Common dividends paid	-2,777	-2,907	-3,035	-2,954	-3,015
Financing cash flow	1,945	2,336	999	-208	4,696

Source: StockAnalysis.com annual cash flow statement, reported. Free cash flow is operating cash flow less capital expenditure, calculated.

Operating cash flow, capital expenditure and free cash flow



Source: StockAnalysis.com. Units: USD billion. Period: fiscal 2021 to 2025.

C4. Forecasting and Projections

The forecast below is the analyst's own model and not company guidance. Revenue is grown from the fiscal 2025 base of USD 29.6bn at 6.5% in 2026 and 2027 and slowing to 3.0% by 2034, in line with the historical four year growth of 6.3% and the 2.3% to 7.4% load growth the company reports. Earnings are driven by rate base: each dollar of net investment (capex less depreciation) earns an after-tax return of 7.7% with a two year lag for construction, from an after-tax operating profit of USD 7.0bn in 2025 that includes USD 0.3bn of equity construction allowance. Capex follows the USD 15.9bn 2026 plan and a step to USD 16.5bn in 2027 and 2028 before falling toward USD 10.5bn by 2035, with depreciation at 5.2% of opening net plant. Tax is 16% (the fiscal 2025 effective rate on pretax income was 16.6%). Working capital is assumed neutral. Maintenance versus growth capex is not disclosed; with depreciation at USD 6.0bn, maintenance is assumed at or below that level.

BASE CASE PROJECTION, USD MILLION

Line	2026	2027	2028	2029	2030
Revenue	31,474	33,520	35,531	37,485	39,359
Operating profit (EBIT)	8,302	8,302	9,209	10,123	10,990
EBITDA	14,310	14,824	16,250	17,656	18,938
EBITDA margin	45.5%	44.2%	45.7%	47.1%	48.1%
Capital expenditure	15,900	16,500	16,500	15,500	14,500
Unlevered free cash flow	-2,918	-3,004	-1,723	537	2,679

Source: analyst model. Estimates, not reported figures. The 2026 capital figure is the company's stated construction programme; later years are assumptions.

SCENARIO ANALYSIS

Assumption or output	Bear	Base	Bull
Revenue growth versus base	-2.0 pts	Base	+1.5 pts
Return on net new investment	6.8%	7.7%	8.5%
Capex versus base plan	-10%	Base	+15%
Revenue 2030, USD bn	35.8	39.4	42.2
Revenue CAGR 2025 to 2030	3.9%	5.9%	7.4%
EBITDA 2030, USD bn	17.9	18.9	20.4
Cumulative capex 2026 to 2030, USD bn	71.0	78.9	90.7
Equity value per share, USD	36.5	48.3	61.9

Source: analyst model. All three cases use a discount rate of 6.25% and terminal growth of 2.5% so that only operating assumptions differ. Estimates, not forecasts of the share price.

Sensitivity to revenue growth is indirect in this model because earnings follow the asset base; sensitivity to returns and funding cost is large, as the tables in section C5 show.

C5. Discounted Cash Flow (DCF) Model

The DCF is an unlevered, ten year, mid-year model valued at the start of 2026. Assumptions: revenue as in C4 (5.9% compound growth to 2030, 3.0% by 2034); EBITDA margin 45% to 48%; tax 16%; capex as above; working capital neutral; discount rate (WACC) 6.25%, based on a cost of equity near 7.7% and an after-tax cost of debt near 4.1% at market weights of about 58% and 42%; terminal growth 2.5%, funded at a 7.7% return on new investment. The terminal value is USD 207.9bn undiscounted, which is 85.6% of enterprise value, so the result is mostly a statement about the terminal assumptions. The bridge deducts net debt of USD 74.1bn, minority interest of USD 2.9bn and divides by 1,150 million shares. The base case enterprise value is USD 132.5bn and equity value USD 55.6bn, USD 48.3 per share.

That value is below the market price because the model treats new investment as earning only a thin spread over the discount rate. The market price is consistent with a lower discount rate, higher allowed returns or both.

SENSITIVITY: WACC (ROWS) AGAINST TERMINAL GROWTH (COLUMNS), EQUITY VALUE PER SHARE, USD

WACC	1.5%	2.0%	2.5%	3.0%	3.5%
5.0%	92	103	118	141	178
5.5%	68	75	83	95	113
6.0%	49	53	58	65	74
6.5%	35	37	40	43	48
7.0%	23	24	25	27	29

Source: analyst model, estimates.

SENSITIVITY: RETURN ON NEW INVESTMENT (ROWS) AGAINST WACC (COLUMNS), EQUITY VALUE PER SHARE, USD

Return	5.0%	5.5%	6.0%	6.5%	7.0%
6.5%	92	62	41	25	12
7.0%	103	71	48	31	18
7.7%	118	83	58	40	25
8.5%	134	96	69	49	33
9.0%	144	104	75	54	38

Source: analyst model, estimates. Terminal growth 2.5%.

DIVIDEND DISCOUNT CROSS-CHECK, VALUE PER SHARE, USD

Cost of equity	3.0%	3.5%	4.0%	4.5%	5.0%
7.0%	78	90	105	127	160
7.5%	70	79	90	106	128
8.0%	63	70	79	91	106

Source: analyst calculation from the current annual dividend of USD 3.04 per share, growing at the rate shown (columns). Estimates.

The two methods give a wide valuation range of about USD 40 to USD 105 per share across plausible assumptions: the unlevered model sits below the market price at a WACC of 6.0% or higher, while the dividend model brackets it. The market price of USD 94.61 therefore sits in the upper part of the range and requires lower discount rates or sustained dividend growth near 4% to 4.5%. This is an indication of the expectations embedded in the price, not a precise intrinsic value.

C6. Leveraged Buyout (LBO) Model

Not applicable. An enterprise value of USD 181.9bn, a regulated asset base with state commission approval requirements, negative free cash flow and net debt already at 5.2 times EBITDA make a leveraged buyout financially and legally unrealistic.

D. Investment Thesis

Bull Case

Large load contracts reach and exceed the 17 GW already signed, the late stage 8 GW converts, and commissions certify the generation needed. Rate base grows near 8% a year with allowed returns intact, earnings track the high end of guidance (USD 4.50 to USD 4.60 in 2026), and operating cash flow rises faster than capex after 2028 as the build peaks. In the model this corresponds to revenue growth 1.5 points above base, a return on new investment of 8.5% and capex 15% above plan, giving USD 61.9 per share on a 6.25% discount rate; the sensitivity tables in section C5 show values above the market price at discount rates near 5.0% to 5.5%.

Bear Case

Data centre demand slows or consolidates, commissions disallow part of the USD 79bn programme, and funding costs rise. In the model, revenue growth 2 points below base, a 6.8% return and capex 10% below plan give USD 36.5 per share at 6.25%. Higher interest rates would raise funding costs on a debt stack that already absorbs 11.0 cents of every revenue dollar, compress the earnings multiple from 22.6 times, and leave interest cover close to its current 2.4 times or lower.

Base Case

Revenue compounds near 5.9% a year to USD 39.4bn in 2030, EBITDA reaches USD 18.9bn with a margin near 48%, and capex falls from USD 15.9bn to USD 14.5bn. Free cash flow turns positive around 2029, the dividend of USD 3.04 is retained with a payout ratio near 70%, and equity issuance stays near the USD 1.1bn the company projects. Valuation then remains at a premium to book and to the model value, resting on lower discount rates.

Catalysts

POTENTIAL CATALYSTS

Event	Timing	Why it matters
Third quarter 2026 earnings	5 November 2026, before the open	Company estimated adjusted EPS of USD 1.65; tests the top of the USD 4.50 to USD 4.60 guidance.
Ex-dividend date	16 November 2026	Confirms the quarterly dividend of USD 0.76.
Conversion of late stage large load projects	Next several quarters	About 3 GW could be finalised near term.
Georgia commission decisions on new capacity	2026 to 2027	Certification of 2,000 to 6,000 MW of dispatchable capacity needed by 2032 to 2033.
Southern Power recontracting	2026 to 2027	Tolling arrangements expiring are being recontracted.
Equity and debt issuance	Ongoing	Remaining equity need of USD 1.1bn through 2030; FFO to debt target near 17% by 2029.

Source: Nasdaq coverage of the Q2 2026 earnings call; StockAnalysis.com for earnings and dividend dates.

Things to Monitor

MONITORING LIST

Metric or event	Why it matters	Positive	Negative
Contracted large load, GW	Drives rate base growth	Above 17 GW and rising	Cancellations or deferrals
Net debt / EBITDA	Balance-sheet capacity	Below 5.0 times	Above 5.5 times
Free cash flow	Self-funding ability	Positive from 2029	Negative beyond 2029
Interest cover (EBIT / interest)	Sensitivity to rates	Above 2.5 times	Below 2.2 times
Regulatory outcomes	Allowed return and cost recovery	Full recovery on certified projects	Disallowances like Nicor Gas in 2026
Share count growth	Dilution	Below 1% a year	Above 2% a year

E. Final Investment Framework

BUSINESS QUALITY	High. Monopoly franchises with cost based revenue and 9.0 million customers across electricity and gas.
FINANCIAL QUALITY	Moderate. Strong operating cash conversion (2.3 times net income) but negative free cash flow and a 4.5% return on invested capital.
COMPETITIVE POSITION	Strong. No retail competition in franchise areas and certified growth in the Southeast, but capital intensity is the highest cost of the position.
MANAGEMENT	Reasonable. Guidance beats and a stable dividend are positives; dilution and heavy borrowing are costs. Tenure and ownership data were Not Retrieved.
INDUSTRY	Structurally transforming. Load growth from data centres is the first sustained demand growth in a generation.
VALUATION	Full to demanding. 22.6 times earnings and a market price in the upper half of the model range.
TECHNICAL AND MARKET STRUCTURE	Constructive but extended. Above the 50 and 200 day averages, RSI near 69, after a 13% monthly gain.
PRINCIPAL RISK	Regulatory disallowance of cost recovery on the USD 15.9bn construction programme.
PRINCIPAL CATALYST	Conversion of the late stage large load pipeline (about 8 GW, of which 3 GW near term) into contracts.
KEY VARIABLE	The spread between the allowed return on new rate base and the cost of capital.
THESIS INVALIDATION	The investment thesis would become materially weaker if net debt to EBITDA stays above 5.5 times for two consecutive years, if contracted large load falls below 15 GW, if interest cover falls below 2.2 times, or if a commission disallows more than 10% of a certified project cost.

F. Data Table

Category	Metric	Current	Prior year	Four year trend
Market	Market capitalisation	USD 107.8bn	USD 96.0bn	USD 72.7bn (2021)
Market	Enterprise value	USD 181.9bn	USD 169.7bn	USD 130.0bn (2021)
Market	Share price	USD 94.61	USD 87.20	USD 68.58 (2021)
Growth	Revenue growth	6.4%	10.6%	6.3% CAGR
Profitability	Gross margin	N/A	N/A	N/A
Profitability	Operating margin	27.0%	26.7%	18.5% (2021)
Profitability	Net margin	15.4%	14.7%	10.4% (2021)
Profitability	ROE	11.5%	11.0%	7.1% (2021)
Profitability	ROIC	4.5%	Not Retrieved	Not Retrieved
Cash flow	Operating cash flow	USD 10.7bn (derived)	USD 9.8bn	USD 6.2bn (2021)
Cash flow	Free cash flow	-USD 3.3bn	-USD 2.9bn	-USD 1.4bn (2021)
Leverage	Net debt / EBITDA	5.2x	5.2x	6.5x (2021)
Valuation	P/E	22.6x	22.1x	30.4x (2021)
Valuation	EV/EBITDA	12.8x	12.2x	15.8x (2021)
Valuation	P/FCF	Not meaningful	Not meaningful	Not meaningful
Market	Beta	0.30 (market)	N/A	0.95 vs sector fund
Market	Volatility	18.5%	N/A	Five year monthly
Market	Maximum drawdown	-16.5%	N/A	Trough February 2023

Current is the trailing twelve months to June 2026 for flows and the latest price date for market data. Prior year is fiscal 2025 (share price at 31 December 2025). Share price in the trend column is the unadjusted 31 December 2021 close. Operating cash flow current is derived from the provider's price to operating cash flow of 10.03 and a market capitalisation of USD 106.9bn.

G. Sources and Methodology

Data cross-check

Provider fundamentals (S&P Global Market Intelligence data via StockAnalysis.com) were cross-checked against internally derived figures and a second source. Market capitalisation of USD 107.8bn matches price of USD 93.71 times 1,150 million shares; the reported P/E of 22.56 matches price over trailing EPS of USD 4.15 (22.6); fiscal 2025 EV to EBITDA of 12.18 matches enterprise value of USD 169.7bn over the derived EBITDA of USD 13.9bn. Total debt of USD 77.1bn on the statistics page (latest quarter) differs from USD 74.1bn at year end 2025 because of the dates, and the year end figure is used for historical ratios. The company's second quarter figures (adjusted EPS of USD 1.13) are on an adjusted basis that excludes items such as the Nicor Gas disallowance, whereas the provider's trailing EPS of USD 4.15 is on a reported basis. Where the Alpha Vantage price series and the provider history overlap (17 August to 26 October 2026) closing prices agree. Peer data were taken on 27 October 2026 and are not date aligned with Southern's 30 October to 2 November data. Year end shares used for the model are 1,150 million. Primary sources are preferred, but company segment earnings, the long term growth target, executive biographies and insider ownership were not retrieved and are marked accordingly.

Source list

Primary Sources

U.S. Securities and Exchange Commission, The Southern Company, Form 10-K for fiscal year 2025. February 2026. `https://www.sec.gov/Archives/edgar/data/92122/000009212226000006/so-20251231.htm`. Information obtained: Business description, customer counts, 2026 construction programme, large load agreements, regulators, nuclear licences

U.S. Securities and Exchange Commission, The Southern Company, Form 8-K, earnings release for the second quarter of 2026. 30 July 2026. `https://www.sec.gov/Archives/edgar/data/0000092122/000009212226000056/so-20260730.htm`. Information obtained: Non-GAAP adjustment items, including the Nicor Gas disallowance

Secondary Sources

StockAnalysis.com (S&P Global Market Intelligence data), Southern Company income statement, balance sheet, cash flow statement and ratios. Fiscal 2021 to 2025, trailing twelve months to 30 June 2026. `https://stockanalysis.com/stocks/so/financials/`. Information obtained: Financial statements, ratios, historical valuation multiples

StockAnalysis.com, Southern Company statistics. 1 November 2026. `https://stockanalysis.com/stocks/so/statistics/`. Information obtained: Market capitalisation, enterprise value, multiples, beta, dividend, moving averages, consensus data

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StockAnalysis.com, Statistics pages for Duke Energy, NextEra Energy, American Electric Power and Dominion Energy. 27 October 2026. `https://stockanalysis.com/stocks/duk/statistics/`. Information obtained: Peer valuation and margin data (companion pages at the same site: nee, aep and d)

Nasdaq (MarketBeat), Southern Q2 earnings call highlights. July 2026. `https://www.nasdaq.com/articles/southern-q2-earnings-call-highlights`. Information obtained: Second quarter adjusted EPS, 2026 guidance, large load pipeline, equity needs, load growth

Market Data

Alpha Vantage, Daily and monthly adjusted price series for SO and XLU. Through 2 November 2026. `https://www.alphavantage.co/documentation/`. Information obtained: Closing prices, returns, volatility, drawdown, beta, momentum indicators

Calculations

EBITDA is operating income plus cash flow depreciation and amortisation. Free cash flow is operating cash flow minus capital expenditure. Four year CAGRs, margins, coverage ratios, returns, volatility (standard deviation of monthly log returns times the square root of 12), maximum drawdown, beta, RSI and MACD are calculated by the analyst from the data above. The DCF, scenarios and dividend discount values are the analyst's estimates under the stated assumptions.

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